

Dear AIA,

In 2004 I joined Melbourne health working for NWAMHS.

I received a TPD in 2008 of \$83000 and I have always maintained this is inconsistent with how much I was additionally insured for. (Now proven).

Yet at the time I reflected later I have always maintained I was insured for a higher level of cover from the first day, because I specifically remember ticking a higher insurance level of cover.

With the discovery of the brochure from 2004 it is confirmed I could design my level insurance and that enormous detriment has occurred.

This needs be immediately acknowledged via a short term payment of \$250000 in that I will not sue for extra detriment in the troubled life I have from the error that was likely intended.

The below documentation was lifted/copied from an old insurance brochure I had from 2004, when I joined and was presented to me on the day of orientation.

In it, it confirms that I could change the levels cover anytime including when I signed up.

I would be working 20 hours and more and my income assist and ONE unit of cover was paid when I had my TPD payment. (But that was just the inherent insurance which was implied with joining the job)

I complained years later always adamant that extra units of cover had been paid.

This was acknowledged by Jane Abbott of AFCA. (Attached)

She concluded that:

1. My money was locked in an illogical place leading to a detriment payment of
2. That she found I was not insured for extra but this is now proven false
3. First State colonial Greg McAllister - said - that 'colonial first state' was the insurer and could not find documents and this is false.

It is also apparent now that :

1. I would have had a superannuation guarantee implied on starting work
2. I could tailor it at anytime to suit my life/ lifestyle and I made amendments on orientation day to additional unity with the formula below as an example
3. This was applied for when I joined which I have always maintained
4. The automatic TPD was 1 unit \$1.05 per week, (But I applied and was given more),
5. However, I did not have the evidence I do now to support my claim that I should have been paid a considerable sum more in extra units.

6. I believe that it was 8 units of cover, and this will be absolutely reflected in the statement I have with the amount of insurance paid, and additionally with the payslips that detail the % of my wage that went to super. This will accurately detail the amount of units purchased as insurance, from the first week of employment.
7. This caused much detriment over a lifetime for the error, and it is something I could sue for.

The evidence I have now is in:

The 2004 PDS leaflet that I was presented with in 2004 certified that:

1. I could apply for increased units at anytime and this was actioned when I joined,
2. The monthly pay packet of \$750 for \$1.70 per week, and was paid for two years but (?) (It says I could have applied to increase this and I did when I joined),
3. I could apply for, and did, for maximum of 8 units TPD cover,
4. This is reflected my statement from 2006 which states I paid (\$21.07) in that month,
5. This is reflected in the statement I received on (date),
6. According to this, I was insured for more than one unit of cover and indeed a few more, (\$21.07 my statement of account reads as of date (date),
7. I was working over 20 hours a week and that meant I could apply for extra cover 'anytime' and that was actioned when I joined,
8. The premiums came out of my super account, reflected when it states from (year) that thing),
9. The payslips from that time indicate that I paid (\$amount) into my super,
10. I got to 'estimate how much I will need' and this happened when I joined without the need for a medical test as I recall,
11. I picked how much insurance I would need as of July 2004 and this was more than one unit completed on my orientation day,

The brochure advertises that:

'Low cost per unit per week – death only – \$0.63, death and disablement – \$1.05.*
Apply to increase your cover at any time.*'

This anytime policy was presented as an option the day I joined as I was certified to work more than 20 hours a week and after all the brochure was an is now in retrospect clear that I had agency to design my own level of insurance.

This brochure confirms that I did indeed have the agency to choose greater levels of cover and that this option was presented at the time I joined the job as demonstrated by the brochure on the day:

'great value insurance

This insurance gives you so much for so little. The cost will depend on your level of insurance – that is, how many units of insurance you choose.'

So yes, it confirms that was within my agency to commit to extra units of cover 'anytime' and this occurred on the day I signed up, reflected in my statement that I originally made in (date)

The brochure also confirms that I had a scheme brochure, and that I was insured for income protection.

- **how much additional death and disablement cover can you apply for?**
This will depend on the type of account you have (Scheme, Shelter or Spouse),
and the amount of hours you work a week (averaged over a consecutive 3 month period) at the time of your application.

I was rostered to work permanent part time over 20 hours a week and did, so it was relevant at the time application to have additional insurance and addition ally income protection; which I rightly claimed in 2007-8.

The brochure additionally confirms that, as a scheme account holder, I could apply for up to \$5000000 for death and \$200000000 for disablement insurance as it states following:

Scheme accounts:

You can apply for up to \$5,000,000 for death and \$2,000,000 for disablement insurance.

It also confirms that I had the choice on the day to choose up to 8 units of death and disablement insurance, which I did as related to the insured amount paid on statement dated (date) for (amount)

Additionally I did not have a Shelter or Spouse account, as I was paid income protection. It was a 'scheme.'

Inthat scheme it was a choice to self insure for up to 8 units.

Scheme accounts:

You can only apply for a maximum total of 8 units of death and disablement insurance.

Shelter and Spouse accounts:

You cannot apply for death and disablement

I received disablement so that confirms I was not on a shelter Spouse account and it was a scheme I could apply for up to 8 units.

The brochure also correctly states I could choose the level insurance for death and disablement according to my age

‘choose a level of death and disablement insurance

Use the table below to compare how much insurance you could get before and after 1 July 2004 according to:

- your age; and
- how many units you have.
You can choose to reduce or cancel your insurance at any time. See page 53 for details.

It unequivocally proves I could have chosen the level of insurance upon enrolling thus:

It provenance and for all that I had the choice to choose extra units of cover before and after July 2004:

‘choose a level of death and disablement insurance

Use the table below to compare how much insurance you could get before and after 1 July 2004 according to:

- your age; and

- how many units you have.

This is the critical point:

That the brochure states, as I recall, that the design of how much insurance I could pay for was indeed presented to me on the day of orientation.

I recall they said not to under insure yourself, tis that moment I applied for extra units, and it was 8 units of cover.

I remember reading the following:

be careful not to under insure yourself

Can you afford to live on \$750 a month? If the answer is yes, the good news is

this is the amount of income protection cover you'll get automatically when you join Health Super as a Scheme member. If the answer is no, then you'll need to look at whether it is worth increasing your cover (refer to next page).

The brochure asks me to calculate how much I wanted to be insured for, that I have enough covering case something goes wrong and I can't work.

I remember ticking the maximum level at 8 units.

It states that I am able to follow steps to apply for more.

work out how much you need

Your income is a valuable asset. So make sure you have enough cover in case something goes wrong and you can't work. Follow these steps to see how much income protection insurance you can get, and how to apply for more.

1 Look at how much automatic income protection cover you can get. The automatic level of 2 units for a Scheme account is shown below. This gives you an income protection payment of \$750 a month for only \$1.70 a week. The cost for each additional unit (i.e. on top of the automatic 2 units) is also set out below (see step 2).

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In the following tables it confirms in regard to income assist or protection that:

number	your annual	of units
	gross	
	income	
	75% of weekly your	
	income cost*	
	per month (income	
	protection)	
1	\$6,000	\$375 \$0.85
2 (automatic level)	\$12,000	\$750 \$1.70

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number	your annual of units	gross income	75% of weekly your income cost* per month (income protection)
3	\$18,000	\$1,125	
4	\$24,000	\$1,500	
5	\$30,000	\$1,875	
10	\$60,000	\$3,750	
20	\$120,000	\$7,500	
30	\$180,000	\$11,250	

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According to my statement from (date) I paid (amount)in an (time frame)

That equals

- 1. TPD**
- 2. income protection**

number	your annual of units	gross income	75% of weekly your income cost* per month (income protection)
3	\$18,000	\$1,125	
4	\$24,000	\$1,500	
5	\$30,000	\$1,875	
10	\$60,000	\$3,750	
20	\$120,000	\$7,500	

30 \$180,000 \$11,250

I remember reading this specifically and estimating my insurance:

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A. Think of your current debt levels. Include mortgage, car loans, personal loans, margin loans, credit cards, etc. How much does that add up to?	e.g. \$400,000	
B. Estimate how much a funeral, etc. would cost in	\$5,000	
C. How much would you like to leave your family in case you die, after all the debts and	\$100,000	
D. Add up (A), (B) & (C). This is an idea of how much insurance	\$505,000	
estimate how many units you may need		
E. How old are you currently?	35 years	
F. According to the scale on page 42, how much does one unit of death and disablement	\$83,100	
G. Subtract (F) from (D). This will tell you how much extra insurance cover you need to cover	\$421,900	
H. To calculate how many units of insurance cover you need, divide (D)	6 units	
I. How much insurance cover does this give you with Health Super?	\$498,000	
How much will this level of death and disablement insurance cost per week? Remember one unit of death and disablement insurance costs \$1.05 per week. Multiply (H) by \$1.05.	\$6.30 per week	

How much will this level of death only insurance cost per week? Remember 1 unit of death only insurance costs \$0.63 per week. Multiply (H) by \$0.63.	\$3.78 per week	
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I remember nominating a high level of cover.

This is confirmed in my annual statement from (year)

It states that

(States)

This is unequivocal proof that I am owed more, was under paid and I deserve to be able to also receive the amount owing for a lifetime of financial hardship and detriment addition to the calculation of the units extra I paid which was not received.

That the difference must be paid with interest applied.

It specifically states in the brochure:

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what we pay if you become disabled

If you cease employment because you are totally and permanently disabled, Health Super will pay you a lump sum disablement benefit. Here's how we work it out.

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your disablement insurance cover

your super account balance

your disablement benefit (Government taxes apply)

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I was paid only one unit of cover which was \$83000

This is incorrect and it is proven now that:

1.

2.

3.

investment choice

In regards to worker compensation it states I :

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2 Receive your benefits monthly

If you are still assessed by a Medical Practitioner as totally disabled, then you will receive your first payment 1 month after the 90 day waiting period has expired. Monthly income protection benefits paid to you are increased annually either by CPI or by 10%, whichever is less.

when will the monthly payments be reduced?

Your monthly income protection benefit will be reduced by any income you receive or are entitled to receive in respect to your sickness or injury. This includes any:

- • sick leave payments;
- • amount payable under legislation such as Worker's Compensation, Social Security benefit, or motor accident compensation;

It states my income protection will be reduced if I receive workers compensation.

There now stands additionally a question about how many units I purchased for income protection, and the margin of difference I was paying in insurance that equated to a detriment in income assist needs to be calculated and other lump sum paid with interest from 2007.

I did not receive workers compensation and there is actually a form I filled out at the time.

I should have. This would affected my income protection.

It was discussed at a meeting with ACC but I had no idea what was happening, and if the meeting was with the insurer -Of of course it went in their favour.

Years and years later, that workers compensation payment is still outstanding, in addition to a detriment payment of an impairments benefit payment from 2007.

Regarding my 'Certificate of Currency' in my workers statement that follows, it stats a couple of insurance agencies in addition to 'work cover' being assigned in there as well.

The brochure which was presented on the day of orientation again concludes that I could choose a range of investment options 'to suit my needs' again re confirming as fact that:

1. I chose extra units of cover

2. Deserved to be paid work cover then have that reduced from my income protection
3. Still deserve to be paid my impairment benefit payment that may affect my income protection the time
4. As of (2022) I was told that this amount is about \$150000 and that further this would need to be paid with interest from 2007 from work safe as the employee was in Victoria as in Melbourne Health and it has a workers comp or work safe ID number (number) that I was told in 2022
5. In addition to this, I attempted to re-engage the workers compensation detriment and this was rejected by ACC and the conciliation group at ACC and conciliation dot gov dot au
6. This was in line with a lot of other inconsistent financially detrimental issues that built up over my life - which crystallised in 2022 with and framed by a broader picture specifically in regard to (OPMC) and ATT and (Lawyer) and (etc)
- 7.

The brochure then states to sign and return the format HR to be processed and this is what occurred.

Preceding this new revelation which will equal an extraordinary amount detriment and extra cover to be paid, Jane abbott of AFCA an ombudsmandetailed how that my amount was stored (place0 and this constituted a incorrect place to store it.

LikewiseIt is expected and will be litigated that if any extra detriment occurs then I will be taking prompt action to contain the loss in line with her ruling

- You can choose from a range of investment options to suit your needs.
- Sign and return your application form to your HR or Payroll Officer so they can process your request. The form is available from www.healthsuper.com.au

can you salary sacrifice?

This depends on your employer. Check with your HR or Pay Officer to find out if you can salary sacrifice. If you have more than one employer, you will need to check with each employer individually.

IN ANY CASE ACCORDING TO THE PDS in 2007:

From 2007, the actual base and implied TPD unit(s) was (2) units by default and I was insured at this time. (See attached brochure of PDS from 2007).

I am owed immediately without delay the amount of another unit of cover.

\$166200 is my actual very least insured amount as of 2007, at 2 units and I was insured at this time.

I was paid only one unit.

Minus that amount paid already in 2007 of \$83000 equals approximately \$83000 as another unit that sowing to me immediately.

PLUS interest from 2007.

This implies that any interest is not held in trust in an account that Ms Jane Abbott found was unnecessary when it was first examined at AFCA.

That amount with an approximate interest rate of 5% is an approximate total of:

Your strategy:

Initial deposit: \$83,000

Regular deposits: \$0

Total interest: \$92,437

Total savings: \$175,437

\$185296 is the approximate amount.

**\$100000 of that demanded to be
acknowledged today immediately**

Please deposit within one day

**Otherwise I will sue extra for emotional
physical and other unmeasurable amounts
of detriment over a whole lifetime, that has
led me to homelessness and even a fatal
injury from financial detriment.**

My account details are:

Dr Richard McLean

Ing Bank

BSB: 923100

ACC: 307904293

Death and TPD benefit scale (per unit of cover)

The table below shows the amount of Death only or Death and TPD cover provided by each unit of cover in accordance with your age next birthday.

Death & TPD aged based scales

- 16 \$83,100
- 17 \$83,100
- 18 \$83,100
- 19 \$83,100
- 20 \$83,100
- 21 \$83,100
- 22 \$83,100
- 23 \$83,100
- 24 \$83,100

- 25 \$83,100
- 26 \$83,100
- 27 \$83,100
- 28 \$83,100
- 29 \$83,100
- 30 \$83,100
- 31 \$83,100
- 32 \$83,100
- 33 \$83,100
- 34 \$83,100
- 35 \$83,100
- 36 \$78,900
- 37 \$75,800
- 38 \$72,700
- 39 \$69,700
- 40 \$66,600

- 41 \$61,500
- 42 \$56,400
- 43 \$51,200
- 44 \$46,100
- 45 \$41,000
- 46 \$36,900

\$166,200

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\$166,200

\$157,800

\$151,600

\$145,400

\$139,400

\$133,200

\$123,000

\$112,800

\$102,400

\$92,200

\$82,000

\$73,800

\$415,500

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\$363,500
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\$789,000

\$758,000

\$727,000

\$697,000

\$666,000

\$615,000

\$564,000

\$512,000

\$461,000

\$410,000

\$369,000



calculate

Calculate online how much you can boost your super with salary sacrifice at

www.healthsuper.com.au

at a glance

- A flexible way to top up your super using your after-tax income.
- Flexibility – you can add as much as you like, as often as you like.

available with

Health Super Scheme, Spouse and Shelter accounts.

costs

There are no fees for making personal contributions.

- **✓ Health Super fees (see page 32)**
- **✓ Government taxes (see page 34)**
- **✓ insurance premiums based on what you've chosen (see pages 36, 42, 43, 44 and 45)**
- **✓ negative earnings**

tax on money into Health Super

No tax is paid by the Fund on the contributions you make into the fund from income on which you have already paid tax (after-tax income).

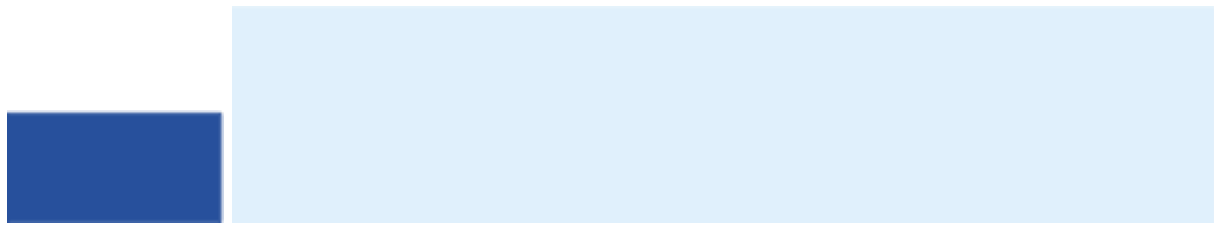
Health Super is required to deduct tax of 15% on:

✓ the contributions your employer(s) makes for you (known as Superannuation Guarantee);

With Health Super, not only can you get great insurance cover with your super account, but you can tailor it to suit your lifestyle.

types of insurance

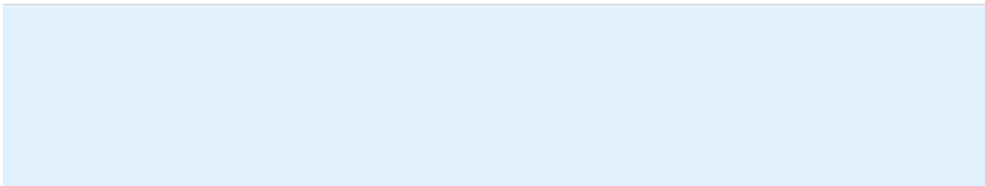
As a Health Super member you can pick-and-choose the type and level of insurance that suits you. Here are the types of insurance Health Super offers.



death and disablement

A one-off payment for you and your family if you cease employment because you become **totally and permanently disabled or die**. This provides some peace of mind that you and your family are protected if something happens to you.

see page 42



income protection (IP)

A monthly pay packet of \$750 for up to 2 years (after a 90 day waiting period) if you become **temporarily** disabled while employed. You can also apply to increase this.

pick

want to reduce or get more insurance cover?

You can reduce or apply to increase your insurance at any time. See page 38 for more details.

automatic insurance with Scheme accounts

up to age 59

If you have a 'Scheme' account, you're under age 59 and work more than 20 hours a week (on average over 3 consecutive months) you'll automatically get:

- ✓ 1 unit of death and disablement insurance (\$1.05 per week); and
- ✓ 2 units of income protection insurance for \$1.70 per week (you're eligible for income protection if you work at least 20 hours a week on average over 3 consecutive months).
- ✓ the option to increase, or reduce your cover at any time.

re-applying or applying for insurance in Shelter/Spouse accounts

As a Shelter/Spouse member you can apply or re-apply for insurance at any time.

up to age 59

If you have a 'Shelter or Spouse' account, you're under age 59, have at least \$1,000 in your super account and work more than 20 hours a week (on average over 3 consecutive months) you can apply or re-apply:

- ✓ for death only or death and disablement insurance (up to a total of 8 units);
- ✓ to increase, or reduce your cover at any time.

aged 60-69

If you have a 'Shelter or Spouse' account, you're aged 60-69, have at least \$1,000 in your super account and work more than 20 hours a week (on average over 3 consecutive months) you can apply:

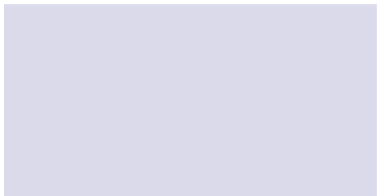
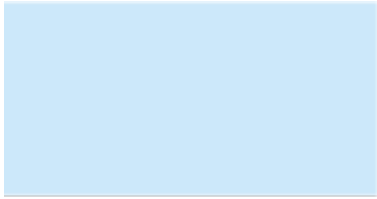
- ✓ death only cover (up to a total of 8 units);
- ✓ to increase, or reduce your cover at any time.

work under 20 hours a week?

You can apply for up to 8 units of death only cover.

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insurance with your account



starts

Your insurance will start from the date AIG Life accepts your request for insurance cover.

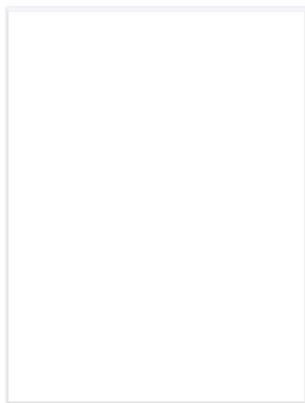
apply

up to age 59

If you have a 'Shelter or Spouse' account, you're under age 59, have at least \$1,000 in your super account and work more than 20 hours a week (on average over 3 consecutive months) you can apply or re-apply:

- ✓ for death only or death and disablement insurance (up to a total of 8 units);
- ✓ to increase, or reduce your cover at any Tim
- . **work under 20 hours a week?**
You can apply for up to 8 units of death only cover.
-

insurance with your account



at a glance

- Great value.
- You can be covered for death, disablement and loss of income.
- No upfront costs – premiums come out of your super account. ^
- Apply to increase your cover at any time.

great value

insurance at your fingertips

Health Super has a range of insurance options you can choose from. What's more, the cost comes out of your super account – not directly from your pocket. So it's easier for you.

This booklet tells you how to:

- ✓ estimate how much cover you'll need (see page 46);*
- ✓ choose your insurance type and pick your level of cover;
- ✓ change your insurance at any time - increase*, reduce or opt-out, and more.

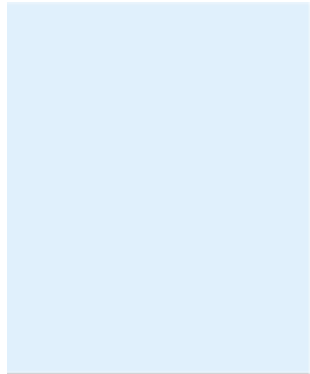
here's what you can get

The type of insurance you can have depends on the type of account you have with Health Super – Scheme, Shelter or Spouse. Here's how it works.

ac co un t ty pe	death and disablement (see page 42)	income protection (see page 44)
Sc he m e	✓	✓ ¹
Sh elt er	✓ ²	X
Sp ou se	✓ ²	X

1 Provided you work at least 20 hours per week (on average over 3 consecutive months).

2 For super accounts over \$1,000. Eligible for death and disablement insurance only if gainfully employed and work for at least 20 hours per week (on average over 3 consecutive months) at the time of applying for insurance cover.



did you know?

If you're a Scheme member with automatic insurance, you're covered for death, disablement and loss of income as a result of sickness or injury for just \$2.75 a week.*

* Subject to conditions

'it's easy, the cost just comes out

of your super account not your wallet. . .'

how to change your insurance

At Health Super, we understand the importance of peace of mind. If something should happen to you, you want to make sure you and your family will be able to cope. That's why you can apply to increase your level of insurance at any time.
Here's how to change your insurance.

- **1 Choose your insurance type**
 Check the table on page 40 to see what type of insurance you can get with your account. To see which account you've got and what your options are, check your *Welcome Letter* included in the mail out pack.
 If you want to stick with the insurance that is offered to you automatically, then you don't need to do anything.

- **2 Pick your level of insurance**
 Next, you need to work out how much insurance you need. First, take a look at how much insurance you can get automatically after 1 July 2004 (this will appear on your *Welcome Letter*). Will it be enough? To find out, work out how much insurance you think you will need to cover lifestyle expenses. Bills, education fees, day-to-day costs, you name it. Just write it down.

- **3 Complete the form**
 If you decide to increase your level of insurance, you must complete an *Insurance Form* and a *Confidential Personal Statement (CPS)* at **www.healthsuper.com.au**. The CPS can also be download from **www.healthsuper.com.au**
 All requests for increases in insurance cover are subject to the satisfactory completion of the *CPS* and meeting underwriting conditions (e.g. health history). **If you want to apply to reduce or opt out of insurance just complete the relevant section of the *Insurance Form*.**

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- at a glance
 - Low cost per unit per week – death only – \$0.63, death and disablement – \$1.05.*
 - Apply to increase your cover at any time.*
 - Covered for death until age 70 and disablement until age 60.
- available with
- Health Super Scheme, Shelter and Spouse accounts.

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* A premium loading may apply if your application does not meet the standard underwriting conditions (see page 53).

protection

with a one-off payment if you die or become disabled

Sometimes things in life don't always go as planned. That's why it's important

to make sure you're covered in case of the unexpected. With our death and disablement insurance, you can get a one-off payment if you cease employment because you become

totally and permanently disabled, or die.

great value insurance

This insurance gives you so much for so little. The cost will depend on your level of insurance – that is, how many units of insurance you choose.

To make it easy for you, the premiums are deducted directly from your Health Super account. It will impact on your overall super account balance, but you can monitor costs on your super *Statement*.

how to apply for additional insurance

See the 'how to change your insurance' section on page 41.

how much additional death and disablement cover can you apply for?

This will depend on the type of account you have (Scheme, Shelter or Spouse), and the amount of hours you work a week (averaged over a consecutive 3 month period) at the time of your application.

Scheme accounts:

You can apply for up to \$5,000,000 for death and \$2,000,000 for

disablement insurance.

Shelter and Spouse

accounts:

You can apply for a maximum total of 8 units of death and disablement insurance if you have more than \$1,000 in your super account.

Scheme

accounts:

You can only apply for a maximum total of 8 units of death and disablement

insurance.

Shelter and Spouse

accounts:

You cannot apply for death and disablement

choose a level of death and disablement insurance

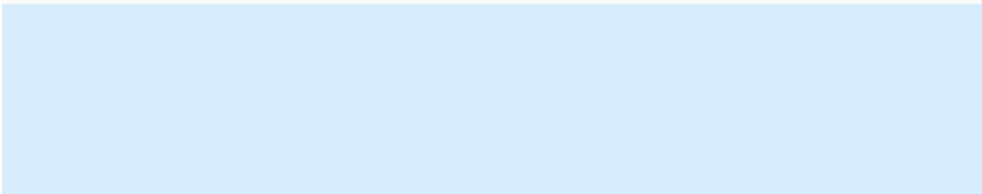
Use the table below to compare how much insurance you could get before and after 1 July 2004 according to:

- your age; and

- how many units you have.

You can choose to reduce or cancel your insurance at any time. See page 53 for details.

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- **death and TPD:**

You can apply for any number of units (see left table). Simply multiply the cost \$1.05 per unit by the number of units you want.

Imagine you want 15 units of cover. The cost would be: \$1.05 per week x 15 units = \$15.75 per week.

old scale before 1 July 2004

death only cover

You can apply for any number of units (see table). Simply multiply the cost \$0.63 per unit by the number of units you want.

Imagine you want 15 units of cover. The cost would be: \$0.63 per week x 15 units = \$9.45 per week.

tip

When you apply for additional death and disablement insurance cover,

until the cover is accepted or declined, you will be covered in the interim for accidental death for the amount you applied or \$250,000, whichever is less

be careful not to under insure yourself

Can you afford to live on \$750 a month? If the answer is yes, the good news is

this is the amount of income protection cover you'll get automatically when you join Health Super as a Scheme member. If the answer is no, then you'll need to look at whether it is worth increasing your cover (refer to next page).

work out how much you need

Your income is a valuable asset. So make sure you have enough cover in case something goes wrong and you can't work. Follow these steps to see how much income protection insurance you can get, and how to apply for more.

1 Look at how much automatic income protection cover you can get.

The automatic level of 2 units for a Scheme account is shown below. This gives you an income protection payment of \$750 a month for only \$1.70 a week. The cost for each additional unit (i.e. on top of the automatic 2 units) is also set out below (see step 2).

number	your annual of units	gross	income	75% of weekly your	income cost*	per month (income	protection)
1	\$6,000	\$375	\$0.85				
2	(automatic level)	\$12,000	\$750	\$1.70			

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number	your annual of units	gross	income	75% of weekly your	income cost*	per month (income	protection)
3	\$18,000	\$1,125					
4	\$24,000	\$1,500					

5	\$30,000	\$1,875
10	\$60,000	\$3,750
20	\$120,000	\$7,500
30	\$180,000	\$11,250

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number	your annual of units	
	gross	
	income	
	75% of weekly your	
	income cost*	
	per month (income	
	protection)	
3	\$18,000	\$1,125
4	\$24,000	\$1,500
5	\$30,000	\$1,875
10	\$60,000	\$3,750
20	\$120,000	\$7,500
30	\$180,000	\$11,250

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example

Jenny is 39 and earns \$40,000 a year as a Nurse, and she would like to insure herself for \$1500 a month (which is 75% of her salary). That means she will need to insure herself for 4 units of cover. To calculate the additional cost, all she would do is this.

1. subtract: First subtract her automatic number of units from the total number. (i.e. 4 units - 2 units = 2 additional units)
2. multiply: Using the age table, she would multiply the number of additional units (i.e. in this case 2 units X \$0.64

per week = \$1.28 per week).

3. add: Then she would add the \$1.70 (automatic cost of 2 units) to the cost (i.e. $\$1.28 + \$1.70 = \$2.98$ per week be deducted from her super account).

your options when you get a pay rise

You can increase your income protection insurance by no more than 2 units every 3 years with any salary increases. Just make sure you supply us your completed *Insurance Form* within one month of the effective date of your salary increase, and provide us evidence of the increase. You will not be required to complete the *Confidential Personal Statement*. Call 1800 33 17 19 for an *Insurance Form*.

no longer working?

If you resign or become redundant, your income protection insurance will cease.

how to apply for additional insurance

See the 'how to change your insurance' section on page 41.

A. Think of your current debt levels. Include mortgage, car loans, personal loans, margin loans, credit cards, etc. How much does that add up to?	e.g. \$4 00 ,0 00	
B. Estimate how much a funeral, etc. would cost in	\$5,00	
C. How much would you like to leave your family in case you die, after all the debts and	\$100,	
D. Add up (A), (B) & (C). This is an idea of how much insurance	\$505,	
estimate how many units you may need		
E. How old are you currently?	35 ye ar	
F. According to the scale on page 42, how much does one unit of death and disablement	\$83,1	

G. Subtract (F) from (D). This will tell you how much extra insurance cover you need to cover	\$421.	
H. To calculate how many units of insurance cover you need, divide (D)	6 un	
I. How much insurance cover does this give you with Health Super?	\$498.	
How much will this level of death and disablement insurance cost per week? Remember one unit of death and disablement insurance costs \$1.05 per week. Multiply (H) by \$1.05.	\$6.30 per week	
How much will this level of death only insurance cost per week? Remember 1 unit of death only insurance costs \$0.63 per week. Multiply (H) by \$0.63.	\$3.78 per week	

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what we pay if you die

If you die while you're employed Health Super will pay your death benefit to one or more of your dependants and/or legal personal representative.

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what we pay if you become disabled

If you cease employment because you are totally and permanently disabled, Health Super will pay you a lump sum disablement benefit. Here's how we work it out

what we pay if you become disabled

If you cease employment because you are totally and permanently disabled, Health Super will pay you a lump sum disablement benefit. Here's how we work it out.

+ =

your disablement insurance cover

your super account balance

your disablement benefit (Government taxes apply)

when you are no longer insured

Your Health Super death and disablement insurance cover will cease on the first occurrence of any of the following specified events:

- you are no longer a Health Super member;
- you reach age 60 for disablement insurance; age 70 for death only insurance;
- you die;
- you are assessed as totally and permanently disabled (in which case you will be paid out a lump sum amount equal to your disablement insured benefit);



claiming

on income protection for *total* disability

what does total disability mean?

This means that due to illness or injury, you are:

- continuously unable to perform your usual occupation;
- not working at all; and

- remaining under care and following the advice of a Medical Practitioner.

what does pre-disability income consist of?

There are certain conditions concerning returning to work. When we refer to 'pre-disability income' this is defined as your average gross monthly income earned over the 12 consecutive months before you become disabled. Your pre-disability income also include regular commissions, regular bonuses and fringe benefits (excluding mandated superannuation contributions but not excluding salary sacrificed super contributions).

If you directly or indirectly own part or all of a business or professional practice from which you earn a regular income, pre-disability income includes what is generated by the business due to your own personal exertion or activities. Investment income, business expenses and mandated super contributions are excluded.

when won't your income be protected?

Your income protection insurance cover will cease on the first occurrence of any of the following specified events:

- you are no longer working for at least 20 hours a week (on average over 3 consecutive months);
- you leave Health Super Scheme or moved to Health Super Shelter;
- you reach age 60;
- you die;
- you suffer a disability (of either or both of a physical or intellectual nature) and are employed in sheltered workshops (or such arrangements which are akin to sheltered workshops) due to your physical or intellectual

capacity (see page 54 for more details);

- • you are serving in the Armed Forces of any country, other than the Australian Defence Forces Reserve; or
- • your account balance is insufficient to cover the next premium deduction, and we will notify you to that effect. Please make sure you have enough in your super account to pay for the cost of insurance.

2 Receive your benefits monthly

If you are still assessed by a Medical Practitioner as totally disabled, then you will receive your first payment 1 month after the 90 day waiting period has expired. Monthly income protection benefits paid to you are increased annually either by CPI or by 10%, whichever is less.

when will the monthly payments be reduced?

Your monthly income protection benefit will be reduced by any income you receive or are entitled to receive in respect to your sickness or injury. This includes any:

- • sick leave payments;
- • amount payable under legislation such as Worker's Compensation, Social Security benefit, or motor accident compensation;
- • benefits payable under other income protection policies; and
- • lump sum payments (other than Health Super's disablement benefit) are converted to a monthly amount (i.e. divided

by 60) and applied over a maximum 5 year period.

when will the monthly payments stop?

Your monthly payments made to you will stop on the first occurrence of any of the following specified events:

- . • you die;
- . • the 2 year benefit payment period expires;
- . • you no longer satisfy the definition of total or partial disability; or
- . • you are assessed as totally and permanently disabled. If you are assessed as totally and permanently disabled, then you will be paid out a lump sum amount equal to your disablement benefit (see page 45).

about AIG Life - our new insurer

Your insurance is with one of the world's leading international insurance and financial services organisations - American International Group Inc. (AIG). As the world's largest underwriter of commercial and industrial insurance, AIG and its member companies provide general and life insurance products for individuals, organisations and businesses in approximately 130 countries and jurisdictions around the globe.

AIG Life is the trading name of American International Assurance Company (Australia) Limited (ABN 79 004 837 861 AFS Licence No. 230043). When dealing with AIG Life you have the confidence knowing you are dealing with

the only AAA 'insurer financial strength' rated life insurance company in Australia as awarded by Standard & Poor's (since July 1997). AIG Life is not owned by the banks. The insurance cover operates through a group life policy issued by AIG Life to Health Super for the benefit of members of Health Super Fund and subject to the policy conditions. To obtain a copy of the policy document, please call 1800 33 17 19.

privacy policy

When you join, your employer gives us your contact details, date of birth and Tax File Number. In accordance with the *Privacy Act*, we then use that information to:

- ✓ set up and maintain your account;
- ✓ process contributions;
- ✓ pay you;
- ✓ correspond with you by email or letter;
- ✓ research for any unclaimed benefits you may have; ✓ keep you informed;
- ✓ conduct research and get views on our services, existing and new products. Health Super's *Privacy Policy* can be viewed at www.healthsuper.com.au. Should you

wish to access the details of your personal information, or raise any concerns you may have about Health Super's handling of your personal information, contact Health Super's Privacy Officer on 1800 33 17 19.

disclaimer

status:

Health Super Pty Ltd ABN 97 084 162 489, AFSL No, 246 492 is the Corporate Trustee which administers the Health Super Fund under the Health Super Fund's *Trust Deed*. Health Super Pty Ltd, and the operations of the Fund are governed by the *Superannuation Industry (Superannuation) Act 1993* and the *Corporations Act 2001*.

legal:

The information provided in this *Product Disclosure Statement* is of a general nature only, and sets out the main features of the Health Super Fund. You should consider this *Product Disclosure Statement* before making any decision about whether to acquire the product. This advice has been prepared without taking into account your objectives, financial situations or needs. Past investment performance is no guarantee of similar future returns.

This booklet is intended as a guide only. All death, disablement and income protection provided to members in accordance with the *Policy Documents* agreed to between Health Super and AIG Life. Health Super reserves the right to replace the *Group Life Policy* with AIG Life and to alter the terms and conditions of the *Policy*, including cover and premiums.

If you have any questions about insurance, please call Health Super on **1800 33 17 19**.

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Superannuation determination

Case number	607999
Complainant	Mr Richard McLean
Financial firm	FSS Trustee Corporation (trustee)
Fund	First State Superannuation Scheme
Former Fund	Health Super
Former Trustee	Health Super Pty Ltd

Case number: 607999 1 July 2019 **1 Overview**

1.1 Complaint

The complainant joined the former fund in November 2004. He was paid his account balance in August 2006, income protection (IP) benefits for two years from March 2006 and a total and permanent disablement (TPD) benefit in February 2008.

The complainant's former fund account had been closed in 2006 on payment of his account balance. In order to pay his TPD benefit in February 2008, an account was opened for administrative purposes to receive the insurance amount and pay it to the complainant. It was invested in the Long-Term Growth investment option.

The former fund merged with the fund on 1 July 2011 and the trustee assumed responsibility for the former trustee's decisions.

The complainant has complained to the trustee about the amount of the TPD benefit paid and whether tax should have been deducted from the benefit.

The trustee advised the correct TPD benefit was paid, being one unit of cover, and it was required to deduct tax from the benefit. These are the decisions under review.

1.2 Issues and key findings

Was the correct TPD benefit amount paid to the complainant?

The evidence confirms the complainant was covered for one unit of TPD insurance throughout his membership of the former fund. I am satisfied the TPD benefit for the complainant was calculated correctly.

However, the former trustee's decision to invest the TPD insurance amount in a high- risk investment was not fair and reasonable to the complainant in the circumstances because the account was opened as a short-term holding account.

Was tax correctly withheld from the TPD benefit?

Tax is payable on superannuation benefits under the Income Tax Assessment Act 1997 (the Tax Act). Tax was correctly deducted from the complainant's TPD benefit.

1.3 Determination

I am satisfied the decision of the trustee that tax was correctly deducted from the complainant's TPD benefit was fair and reasonable in relation to the complainant in the circumstances.

The determination affirms this decision.

However, the determination sets aside the trustee's decision that the correct TPD benefit was paid to the complainant. It was not fair and reasonable to the complainant in the circumstances for the former trustee to invest the complainant's TPD benefit in the Long-Term Growth investment option. AFCA's substituted decision is for the trustee to pay the complainant the TPD benefit he would have been paid on 28 February 2008 had it been invested in the former fund's cash option, less the \$72,810.47 paid. Interest is to be added to this amount at the fund's cash rate from 28 February 2008 to the date of payment.

The trustee is also to refund the insurance premiums incorrectly deducted from the second account to the complainant with interest at the fund's cash rate if this amount has not already been paid.



2 Reasons for determination

2.1 AFCA's review power and procedural fairness

In determining superannuation complaints, AFCA must:

- comply with its rules and the Corporations Act

- consider whether the trustee's decisions were fair and reasonable in their operation in relation to the complainant in all the circumstances
- not make a determination that is contrary to law or to the trust deed and the insurance policy.
The issue is not what decision I would have made, but rather, whether the decisions under review were fair and reasonable, based on all of the information obtained by AFCA.
In reaching my determination, I have reviewed the AFCA file and considered all the material provided by the parties.
Additionally, I am satisfied the material I have relied on has been provided to all parties and they have had an opportunity to respond.

2.2 Was the correct TPD benefit amount paid to the complainant?

The complainant was a member of the former fund

The complainant joined the former fund on 8 November 2004. His entire account balance of \$1,779.53 was paid to him on 3 August 2006 on the grounds of financial hardship. He received IP benefits from 2 March 2006 to 1 March 2008 from the former fund.

He successfully applied for a TPD benefit from the former fund, which was accepted, and a benefit of \$72,810.47 was paid on 29 February 2008.

Because the complainant's account had been closed on payment of his financial hardship payment, a second account was opened to accept and pay the TPD insurance amount.

The second account was open from 19 December 2007 to 28 February 2008.

The former fund merged with the fund on 1 July 2011. The complainant was never a member of the fund.

The complainant says he applied for the highest level of insurance cover when joining the former fund

The complainant advises, due to his knowledge of his mental illness, he has consistently elected the highest possible TPD insurance cover when applying for jobs.



Superannuation determination | **Case number:** 607999 Page 4 of 10

He says he completed a form and ticked the box corresponding with approximately \$380,000 insurance cover when joining the employer and the former fund.

The trustee advised there was no initial application form used when members joined the former fund. Applications were sent electronically to the former fund by employers. The Product Disclosure Statement in force when the complainant joined the former fund (the 2004 PDS), stated he would have had to complete an Insurance Form and a personal statement if he wanted to increase his cover above the basic automatic level. The additional cover would have been subject to underwriting.

The trustee states there is no evidence the complainant either completed an application for higher insurance cover or went through an underwriting process after he joined the former fund. The complainant agrees with this position but maintains he is entitled to the higher cover because he completed a form on the day he joined the former fund.

The complainant had one unit of TPD cover

The 2004 PDS notes new members automatically received the basic level of one unit of death and TPD cover.

I have reviewed the complainant's annual statement from the former fund for the year ended 30 June 2005. It shows the complainant

held cover of \$83,100 at this date. The 2004 PDS confirms this was equal to one unit of cover for a member of the complainant's age.

The statement also shows insurance premiums of \$35.15 deducted from his account from 8 November 2004, the date he joined the former fund, to 30 June 2005. The 2004 PDS shows one unit of death and TPD insurance cost \$1.05 per week. \$35.15 divided by \$1.05 equals 33.48 which is the same number of weeks the complainant had been a member of the former fund to 30 June 2005.

The trustee provided a screenshot from the former fund's administration system showing the complainant had \$83,100 in TPD insurance cover.

The complainant was sent an exit statement from the former fund when his TPD benefit was paid. It showed his benefit was calculated as:

TPD insurance Investment earnings Tax

Insurance premiums Administration fees TPD benefit paid

\$83,100.00 -\$8,657.95 -\$1,583.00 - \$33.75 - \$14.83 \$72,810.47

I am satisfied from all the above evidence the complainant only held one unit of TPD insurance cover in the former fund.



Insurance premiums should not have been deducted from the second account

As shown in the above calculation, \$33.75 was deducted for insurance premiums for the period the second account was open, 19 December 2007 to 28 February 2008.

I am satisfied, because the second account was only opened for administrative purposes to receive and pay the TPD insurance amount, premiums should not have been deducted. This amount should be paid to the complainant by the trustee to correct the error if it has not already done so.

The period 19 December 2007 to 28 February 2008 is 10.14 weeks. The death and TPD premium for this period was \$21.07 as shown on the exit statement. \$21.07 divided by 10.14 equals 2.078.

The complainant says this shows he was paying for a higher level of insurance cover than one unit and therefore should have received a higher TPD benefit.

The former fund introduced new insurance arrangements in August 2007, including providing two units of TPD cover for new members. The premiums shown on the exit statement reflect this enhanced cover.

However, as discussed above, the second account was only opened for administrative purposes to enable the trustee of the former fund to pay the complainant his TPD benefit.

The complainant has provided evidence to show he was in employment to 7 September 2007. The trustee has advised there is no record of any contributions being received by the former fund for the complainant between the closure of his account in 2006 to the payment of his TPD benefit in 2008.

The complainant was in receipt of IP benefits from 2 March 2006 to 1 March 2008 and could not have been working during this period.

I am satisfied there were no contributions paid for the complainant following the payment of his account for financial hardship in 2006. It follows, therefore, there were also no insurance premiums paid by the complainant after this date.

The insurance premiums of \$21.07 shown on the complainant's exit statement of 28 February 2008 were an error and the complainant was not entitled to any further insurance benefit as the former fund was no longer receiving contributions on his behalf and his account had been paid from the former fund.

The premiums deducted in error from the second account do not entitle the complainant to a higher TPD benefit.



Superannuation determination | **Case number:** 607999 Page 6 of 10

The TPD insurance should not have been invested in a high-risk account

The default investment option for the complainant in the former fund was Long-Term Growth. The PDS dated 1 July 2007 describes this option as a high-risk option with a probability of a negative return being one year in four. The 2004 PDS says the risk profile for this option is seven years or more.

This may have been a suitable option for a long-term investment outlook for a member of the complainant's age. However, it is inappropriate for a 'holding account', which was only to be open for a very short period, to accept the complainant's insurance amount and pay it to him.

The former fund had a cash portfolio as one of its investment options and I am satisfied this vehicle should have been used to preserve the complainant's insurance benefit.

2.3 Was tax correctly withheld from the TPD benefit?

Relevant law requires trustees to withhold tax from TPD benefits

The complainant says \$7,363.16 was deducted from his TPD benefit. He queries whether this deduction was allowed given he was unemployed and on a disability pension at the time of payment.

The complainant has quoted the taxed element of the taxable component of his TPD benefit. This is the part of his benefit on which tax is payable. The remainder is paid tax free. I am satisfied only \$1,583 tax was deducted from the benefit.

The Tax Act specifies when tax is payable on superannuation benefits. It is payable when a person is below preservation age, which for the complainant is 60. There is no exception for people who are unemployed or on a disability pension.

I am satisfied the former trustee was required under the Tax Act to withhold tax from the complainant's TPD benefit.

The correct amount of tax was withheld

The applicable tax rate at the time of payment was 20% plus 1.5% Medicare levy. Applying this to the taxable portion of the complainant's benefit, results in tax of:

$$\$7,363.16 \times (20 + 1.5)/100 = \$1,583.08$$

I am satisfied the correct amount of tax was deducted from the complainant's TPD benefit.



2.4 Determination

The decision of the trustee that tax was correctly deducted from the complainant's TPD benefit was fair and reasonable in relation to the complainant in the circumstances.

The determination affirms this decision.

However, the determination sets aside the trustee's decision that the correct TPD benefit was paid to the complainant. It was not fair and reasonable to the complainant in the circumstances for the former trustee to invest the complainant's TPD benefit in the Long-Term Growth investment option. AFCA's substituted decision is for the trustee to pay the complainant the TPD benefit he would have been paid on 28 February 2008 had it been invested in the former fund's cash option, less the \$72,810.47 paid. Interest is to be added

to this amount at the fund's cash rate from 28 February 2008 to the date of payment.

The trustee is also to refund the insurance premiums incorrectly deducted from the second account to the complainant with interest at the fund's cash rate if this amount has not already been paid.



Superannuation determination | **Case number:** 607999 Page 8 of 10

3

3.1

Supporting information

Relevant Dates

Date	Key points
8 November 2004	The complainant joined the former fund
2 March 2006	The complainant started receiving monthly IP
3 August 2006	The complainant was paid his account balance for
19 December 2007	A second account was opened in the former fund to receive the complainant's TPD insurance
28 February 2008	The complainant's second account was closed and
1 March 2008	The complainant's IP benefits ceased as the two-
1 July 2011	The former fund merged with the fund

3.2

Former Fund Member Booklet 1 January 2007

When you join the [former fund] your superannuation is automatically invested into a Default Member Investment Choice option according to your age (see table below). This is known as the Life Cycle Default Strategy and will appear on your Welcome Letter, periodic Statement and six-monthly Record of Transactions.

If you are
Under age 50 Aged 50 to 59 Aged 60 and over

You will be automatically invested in Long-term Growth
Medium-term Growth
Balanced

The Lifecycle Default Strategy options were chosen by [the former fund's] Investment Adviser and researched extensively, taking into account the long-term nature of superannuation.



Superannuation determination | **Case number:** 607999 Page 9 of 10

A handwritten signature in black ink, appearing to read 'J Abbott'.

Jane Abbott
Ombudsman
Australian Financial Complaints Authority



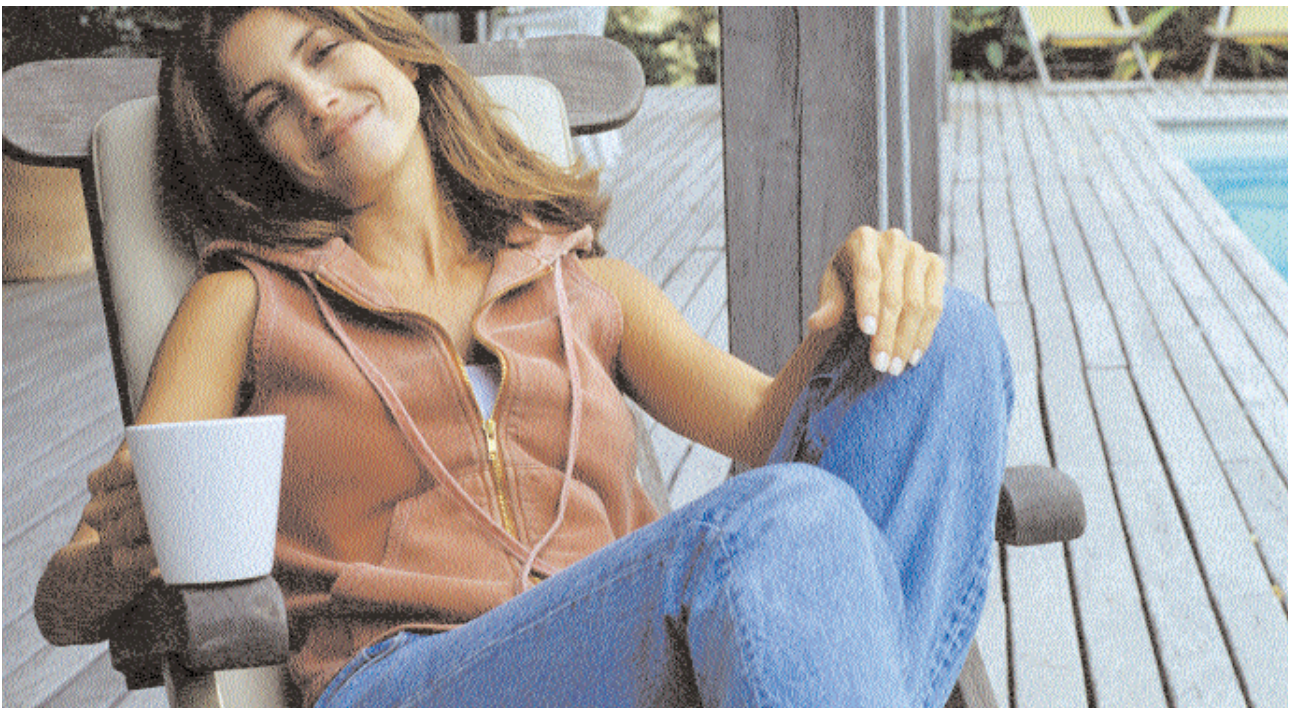
Superannuation determination | **Case number:** 607999 Page 10 of 10

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welcome

to the super fund that secures your lifestyle



product disclosure statement

Prepared 31 May 2004

call

1800 33 17 19

click

www.healthsuper.com.au

post

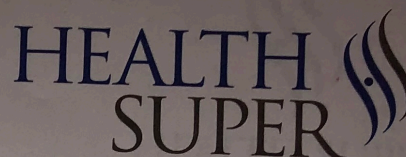
697 Burke Road
(Locked Bag 27)
Camberwell VIC 3124

Health Super Pty Ltd

ABN 97 084 162 489

AFS Licence No. 246492

9 February 2007



Mr Richard McLean
33 Elmbank Drive
KEYSBOROUGH VIC 3173

Dear Mr McLean,

RE: PERMANENT DISABILITY BENEFITS - SUPERANNUATION
Member Number: 9783679

Thank you for your telephone call on 6th February 2007 requesting documents to proceed with a disability claim.

Please note that you may be eligible for an insured benefit if your medical condition occurred prior to 14th May 2006.

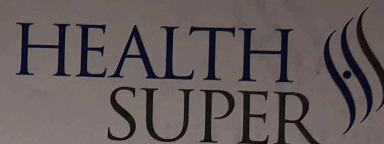
Our records show that you terminated employment with The Royal Melbourne Hospital on 14th May 2006 and the total and permanent disablement cover ceased on this day. We also note that Health Super forwarded a cheque for \$1,779.53 to you on 3rd August 2006, which represented your superannuation entitlements.

Should your claim be approved by the insurer, AIG Life and Health Super the estimated benefit payable at the date you last actively work (1st October 2005) is \$83,100.00.

Our insurer, AIG Life, assesses all disability claims using the following definitions:

Total and Permanent Disablement	Total and Permanent Disablement means that you:
	a) as a result of injury, sickness or disease: i) have not performed any work for an uninterrupted period of at least 6 consecutive months solely due to the same injury, sickness or disease; and ii) are attending and under the regular care and following the advice of, a Registered Medical Practitioner and have undergone all reasonable and usual treatment including rehabilitation for the injury, sickness or disease; and iii) after consideration of all the medical evidence and such other evidence as AIG Life may require, have become incapacitated to such an extent as to render you unlikely ever to be able to engage in your own occupation and any occupation for which you are reasonably suited by education, training, re-training and experience. OR b) have suffered the total and irrecoverable loss of use of: i) both hands; or ii) both feet; or iii) one hand and one foot; or iv) the sight of both eyes; or v) one hand and the sight of one eye; or vi) one foot and the sight of one eye.
	Only one benefit is payable and the amount payable upon permanent disablement must not exceed the death benefit.

9 February 2007



Mr Richard McLean
33 Elmbank Drive
KEYSBOROUGH VIC 3173

Dear Mr McLean,

RE: PERMANENT DISABILITY BENEFITS - SUPERANNUATION
Member Number: 9783679

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Our insurer, AIG Life, assesses all disability claims using the following definitions:

Total and Permanent Disablement	Total and Permanent Disablement means that you: a) as a result of injury, sickness or disease: i) have not performed any work for an uninterrupted period of at least 6 consecutive months solely due to the same injury, sickness or disease; and ii) are attending and under the regular care and following the advice of, a Registered Medical Practitioner and have undergone all reasonable and usual treatment including rehabilitation for the injury, sickness or disease; and iii) after consideration of all the medical evidence and such other evidence as AIG Life may require, have become incapacitated to such an extent as to render you unlikely ever to be able to engage in your own occupation and any occupation for which you are reasonably suited by education, training, re-training and experience. - OR b) have suffered the total and irrecoverable loss of use of: i) both hands; or ii) both feet; or iii) one hand and one foot; or iv) the sight of both eyes; or v) one hand and the sight of one eye; or vi) one foot and the sight of one eye. Only one benefit is payable and the amount payable upon permanent disablement must not exceed the death benefit.
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